IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.132

C.A.(CAA)/1(AHM)2023

Order under Sections 230-232

IN THE MATTER OF:

Oriental Carbon & chemicals Ltd **.....Applicants**
OCCL Ltd

Order delivered on: 24/01/2023

Coram:

Dr. Madan B. Gosavi, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

C.A.(CAA)/1(AHM)2023

[In the matter of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Arrangement

between

Oriental Carbon & Chemicals Limited
(Demerged Company)

and

OCCL Limited
(Resulting Company)

and

their respective Shareholders and Creditors

In the matter of:

Oriental Carbon & Chemicals Limited
[CIN: L2429GJ1978PLC133845]

A company incorporated under the provisions of the Companies Act, 1956, having its registered office at Plot No. 30-33, Survey No. 77, Nishant Park, Village - Nana Kapaya, District Mundra, Kutch - 370 415, Gujarat

..... Applicant Company/ Demerged Company

OCCL Limited
[U24302GJ2022PLC131360]

A company incorporated under the provisions of the Companies Act, 2013, having its registered office at Plot No. 30, 31, 32 & 33, Survey No. 77, Nishant Park, Village – Nana Kapaya, District Mundra, Kutch - 370 421, Gujarat

… Applicant Company/ Resulting Company

Order Pronounced on: 24.01.2023

Coram: Dr. Madan Bhalchandra Gosavi–Member (Judicial)
Mr. Kaushalendra Kumar Singh–Member (Technical)

Appearance:
Mr. Navin Pahwa, Sr. Advocate, with Mr.Ravi Pahwa, Advocate on behalf of Thakkar & Pahwa, Advocates, for the Applicant Companies.

ORDER

1. The present Company Application is filed under Sections 230 to 232 and other relevant provisions of the Companies Act, 2013 (hereinafter referred to as the **"Act"**) read with Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, seeking dispensation of meetings of the Equity Shareholders and the Unsecured Creditor of the Resulting Company and the Secured Creditors of the Demerged Company. There are no Secured Creditors in the Resulting Company, therefore, there is no question of holding any meeting of the Secured Creditors of the Resulting Company. The Demerged Company is seeking directions for convening and holding the meetings of its Equity Shareholders and the Unsecured Creditors for the purpose of considering and, if thought fit, approving, with or without modification(s), a Scheme of Arrangement in the nature of Demerger

of Chemical Business of Oriental Carbon & Chemicals Limited (Demerged Company) into OCCL Limited (Resulting Company) and their respective shareholders and creditors. Copy of the Scheme of Arrangement in the nature of Demerger is placed on record as Annexure-H.

2. An Affidavit has been sworn by Mr.Pranab Kumar Maity, Company Secretary of the Demerged Company and Mr. Anurag Jain, Authorised Signatory of the Resulting Company, and the same is annexed to the Company Application. The above-named signatories for the Demerged Company and the Resulting Company have been duly authorized *vide* the Board Resolutions dated 24.05.2022 passed by the Demerged Company and the Resulting Company, respectively.

3. The averments made by the Applicant Companies are summarized as under:-

i) The Board of Directors of the Applicant Companies *vide* their respective resolutions dated 24.05.2022 have approved the said Scheme. The said Board Resolutions are filed and produced at Annexure-G.

ii) The registered office of both the Applicant Companies are situated in the State of Gujarat and are under the jurisdiction of the National Company Law Tribunal, Bench at Ahmedabad.

iii) That Oriental Carbon & Chemicals Limited (Demerged Company) having CIN L24297GJ1978PLC133845, was incorporated under the provisions of the Companies

Act, 1956 on 19.06.1978 in the name of 'Dharuhera Chemicals Limited'. A certificate of incorporation dated 19.06.1978 was issued by the Assistant Registrar of Companies, West Bengal. Subsequent thereto, the name of the Demerged Company was changed to 'Oriental Carbon & Chemicals Limited'. A copy of the certificate of incorporation consequent on change of name dated 24.01.1985 was issued by the Assistant Registrar of Companies, West Bengal. Subsequent to the above, the registered office of the Demerged Company was shifted from the State of West Bengal to the State of Gujarat. The certificate of registration for change of state dated 13.07.2022 was issued by the Registrar of Companies, Ahmedabad. The Demerged Company is a public company and its equity shares are listed on BSE Limited ("**BSE**") and National Stock Exchange of India Limited ("**NSE**") (collectively referred to as "**Stock Exchanges**").

iv) The Demerged Company is engaged in the business of manufacturing and sales of chemicals (insoluble sulphur, sulphuric acid and oleum) and investments. The Demerged Company is a global supplier of insoluble sulphur of which about two-third of the turnover is from exports. The manufacturing facilities of the Demerged Company are located in the states of Haryana and Gujarat.

v) The OCCL Limited (Resulting Company) having CIN U24302GJ2022PLC131360, was incorporated under

the provisions of the Companies Act, 2013 in the name of 'OCCL Limited' on 25.04.2022. A certificate of incorporation dated 25.04.2022 was issued by the Registrar of Companies, Ahmedabad. The Resulting Company is a public company and its equity shares are not listed on any of the stock exchanges.

vi) The Resulting Company is incorporated to carry on the business of manufacturing, sale, purchase, etc. of all type of chemicals and chemical products and providing all services and utilities for the same.

vii) Since the equity shares of the Demerged Company are listed on the Stock Exchanges, the Demerged Company has submitted the Scheme along with requisite documents with the Stock Exchanges for their no objection, in compliance with Regulation 37 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI Master Circular No. SEBI/ HO/ CFD/ DIL1/ CIR/ P/ 2021/ 0000000665 dated 23rd November 2021 as amended from time to time. Pursuant to the above, the BSE and NSE vide their respective letters dated 02.12.2022 have provided their no adverse observation/ no-objection to the Scheme. The Demerged Company states that in view of the observation/ no-objection letter dated 02.12.2022 issued by NSE, the Demerged Company is not required to issue notices to Securities and Exchange Board of India ("SEBI") and NSE pursuant to the provisions of Section 230(5) of the Companies Act, 2013. Further,

the Demerged Company also states that in view of the observation/ no-objection letter dated 02.12.2022 issued by BSE, the Demerged Company is not required to issue notices to SEBI pursuant to the provisions of Section 230(5) of the Companies Act, 2013. The said observation letters issued by the Stock Exchanges are filed and produced at Annexure-U.

viii) The Resulting Company will be issuing equity shares to the shareholders of the Demerged Company (including foreign shareholders) in terms of Clause 7 of the Scheme. Accordingly, RBI approval is not required for issuing the said consideration and, therefore, RBI will not be regulatory authority for the purpose of the present Scheme.

x) The Resulting Company is a wholly owned subsidiary of the Demerged Company, and the Applicant Companies form a part of the same group, therefore, the Competition Commission of India will not be regulatory authority for the purpose of the present Scheme.

xi) The Demerged Company and the Resulting Company have filed and produced their Memorandum and Articles of Association at Annexure-A and Annexure-D respectively inter alia delineating their object clauses, to the Company Application. The Demerged Company and the Resulting Company have filed and produced their last audited financial statements along with auditors' reports as on 31.03.2022 and 15.05.2022 at

Annexure-B and Annexure-E respectively, to the Company Application. The Demerged Company has filed and produced a copy of its unaudited financial statements as on 30.09.2022 at Annexure-C to the Company Application and the Resulting Company has filed and produced a copy of its audited special purpose financial statements as on 30.09.2022 at Annexure-F to the Company Application.

xii) The accounting treatment specified in the Scheme is in conformity with the accounting standards prescribed in the Companies Act, 2013 and the certificates of the respective Statutory Auditors of the Applicant Companies issued pursuant to the provisions of Section 133 of the Companies Act, 2013 are filed and produced as Annexure-S.

xiii) The Applicant Companies have placed on record the Share Entitlement Ratio Report dated 24.05.2022 issued by Ms. Madhumita Karar, Registered Valuer.

xiv) No investigation or proceedings under the Companies Act, 1956 / Companies Act, 2013 have been instituted or are pending in relation to the Demerged Company and the Resulting Company.

xv) The Demerged Company has 19,771 Equity Shareholders, as on 30.09.2022, holding 99,90,092 equity shares. M/s. A K A G & Associates, Chartered Accountants, has issued a certificate dated 13.12.2022 certifying the shareholding pattern of the Demerged Company. The certificate issued by the M/s. A K A G

&Associates, Chartered Accountants is filed and produced at Annexure-I. The Demerged Company is seeking appropriate directions for holding and convening the meeting of the Equity Shareholders to consider and, if thought fit, to approve the Scheme, with or without modification(s), through video conferencing or other audio-visual means.

xvi) The Demerged Company has 4 Secured Creditors, as on 31.10.2022, having an outstanding amount of Rs. 173,78,71,295/-, out of 4 secured creditors, 3 secured creditors having outstanding value Rs.173,18,87,197/- aggregating to 99.66% of the total outstanding value of the secured creditors of the Company have given their consent in the form of affidavits. M/s. S S Kothari Mehta & Company, Chartered Accountants, have issued a certificate dated 12.12.2022 certifying the number and amount of Secured Creditors of the Demerged Company. The said certificate issued by M/s. S S Kothari Mehta & Company, Chartered Accountants is filed and produced at Annexure K.

xvii) The Demerged Company has 268 Unsecured Creditors, as on 31.10.2022,having an outstanding amount of Rs.17,04,39,559. M/s. S S Kothari Mehta & Company, Chartered Accountants, have issued a certificate dated 12.12.2022 certifying the number and amount of the said Unsecured Creditors. The said certificate issued by M/s. S S Kothari Mehta & Company, Chartered Accountants is filed and produced at Annexure-M. The Demerged Company is seeking appropriate directions

for holding and convening the meeting of the Unsecured Creditors to consider and, if thought fit, to approve the Scheme, with or without modification(s), through video conferencing or other audio-visual means.

xviii) The Resulting Company has 7 Equity Shareholders holding 10,000 equity shares. M/s. A K A G & Associates, Chartered Accountants, has issued a certificate dated 13.12.2022 certifying the number and value of the Equity Shareholders of the Resulting Company and the fact that that consents by way of affidavits, have been received from all Equity Shareholders of the Resulting Company. The said certificate issued by M/s. A K A G & Associates, Chartered Accountants, is filed and produced at Annexure-O. The Resulting Company is seeking appropriate directions for dispensation from holding and convening the meeting of the Equity Shareholders to consider and, if thought fit, to approve the Scheme.

xix) The Resulting Company has NIL Secured Creditors as on 31.10.2022. M/s. A K A G & Associates, Chartered Accountants, have issued a certificate dated 13.12.2022 certifying that the Resulting Company has NIL Secured Creditors. The said certificate issued by M/s. A K A G & Associates, Chartered Accountants is filed and produced at Annexure-P.

xx) The Resulting Company has 1 Unsecured Creditor, as on 31.10.2022, having an outstanding amount of

Rs.5,09,202/-. The Sole Unsecured Creditor has given its consent by way of an affidavit in approval of the Scheme of Arrangement in the nature of Demerger. M/s. A K A G & Associates, Chartered Accountants, issued a certificate dated 12.12.2022 and certified the number, amount of the Unsecured Creditor of the Resulting Company. The said certificate is filed and produced at Annexure-R.

4. The rationale for the Scheme stated in the proposed Scheme is as under:

1. "*As part of an overall strategy for the optimum running, growth and development of the businesses of the Demerged Company, it is considered desirable and expedient to reorganise and reconstruct the Demerged Company by demerging its Chemical Business to the Resulting Company. This will result in the creation of two separate robust entities viz., the Resulting Company focussing exclusively on the Chemical Business and the Demerged Company shall continue to be in the business of investments and intends to initiate trading business such as commodity trading etc.*

2. *The Scheme is expected, inter alia, to result in the following benefits:*
   - *(i) value unlocking of the respective businesses of the Demerged Company and the Resulting Company based on respective risk return profile and cash flows;*
   - *(ii) provide better flexibility in accessing capital and attract business specific partners and investors; and*
   - *(iii) focused management approach for pursuing revenue growth and expansion opportunities in the respective businesses verticals.*

3. The proposed restructuring is in the interest of the shareholders, creditors, employees, and other stakeholders of the Parties."

5. Heard Mr. Navin Pahwa, Learned Senior Counsel along with Mr. Ravi Pahwa, Ld. Advocate for M/s. Thakkar and Pahwa, Advocates for the Applicant Companies and perused the Company Application and documents annexed to the Company Application. It appears that present Company Application complies with all provisions of Sections 230-232 of the Companies Act & Rules made thereunder. Hence, we allow the present application with the following order:-

i) The meetings of Equity Shareholders and Unsecured Creditor of the Resulting Company are hereby dispensed with in view of the consent affidavits attached to the Company Application.

ii) Since there are no Secured Creditors in the Resulting Company, convening of meeting of the Secured Creditors of the Resulting Company does not arise at all.

iii) The meeting of the Secured Creditors of the Demerged Company is hereby dispensed with since the Secured Creditors of the Demerged Company having 99.66% of their outstanding value have given their consent affidavits.

iv) The meeting of the Equity Shareholders of the Demerged Company shall be convened and held on Thursday, 27 April 2023, at 3.00 p.m. through video conferencing or other audio-visual means, for the purpose of considering,

and, if thought fit, approving, with or without modification(s), the proposed Scheme, wherein the Equity Shareholders will be able to cast their votes electronically. In addition to the above, the Demerged Company shall provide facility of remote e-voting to its Equity Shareholders to cast their vote

v) The meeting of the Unsecured Creditors of the Demerged Company shall be convened and held on Tuesday, 2 May 2023, at 3.00 p.m. through video conferencing or other audio-visual means, for the purpose of considering, and, if thought fit, approving, with or without modification(s), the proposed Scheme, wherein the Unsecured Creditors will be able to cast their votes electronically. In addition to the above, the Demerged Company may provide facility of remote e-voting to its Unsecured Creditors to cast their vote.

vi) At least one month before the said meetings of the Equity Shareholders and Unsecured Creditors of the Demerged Company to be held as aforesaid, a notice convening the said meeting as stated above, together with a copy of the Scheme, a copy of the Explanatory Statement required under Section 230(3) of the Companies Act, 2013 read with Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, shall be sent to the Equity Shareholders and Unsecured Creditors of the Demerged Company by electronic mail to their registered e-mail address, as per the records of the Demerged Company/ Depositories, as the case may be, and in accordance with various

circulars issued by SEBI/ Stock Exchanges and the Ministry of Corporate Affairs, to the extent applicable. The Demerged Company shall ensure that, the Equity Shareholders and Unsecured Creditors of the Demerged Company whose e-mail address' are not available with the Demerged Company/ Depositories or who have not received notice convening said meeting, can access/ download the said notice from the website of the Demerged Company viz. www.occlindia.com and on the websites of the Stock Exchanges, i.e., BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com, respectively. The said notices will mention the procedure to register and vote on the resolutions proposed under the notice.

vii) Since the meetings are being held through video conferencing or other audio-visual means mode, physical attendance of Equity Shareholders and Unsecured Creditors of the Demerged Company at their respective meetings has been dispensed with. Accordingly, the facility for appointment of proxies will not be available for the said meetings and hence the requirement to send the proxy form and attendance slip along with the notice of the said meetings is dispensed with. However, the Equity Shareholders and Unsecured Creditors of the Demerged Company who are body corporates are entitled to appoint authorised representatives to attend their respective meetings through video conferencing or other audio-visual means and participate there at and cast their votes through e-

voting.

viii) At least 30 (Thirty) days before the respective meetings of the Equity Shareholders and Unsecured Creditors of the Demerged Company to be held as aforesaid, a notice convening the said meetings, be published each in 'Financial Express' in English having nation-wide circulation, and 'Sandesh' in Gujarati having circulation in Gujarat, stating that copies of the Scheme and the said statement required to be furnished pursuant to Section 230(3) of the Companies Act, 2013 can be obtained free of charge from the registered office of the Demerged Company, or by emailing the Demerged Company at investorfeedback@occlindia.comor from the office of its Advocates viz. Thakkar and Pahwa, Advocates, 71, New York Tower-A, Opp. Muktidham Derasar, Thaltej, Ahmedabad- 380054.

ix) Mr. Bimal Kumar Sipani, Chartered Accountant, (Membership No. 088926), Partner of M/s. Singhi & Co, Chartered Accountants, failing whom, Mr. Nitin Mishra, Advocate on Record, Supreme Court of India (Enrol No. D/677/2007) is hereby appointed as the Chairperson for the meeting of the Equity Shareholders of the Demerged Company.

x) Mr. Nitin Mishra, Advocate on Record, Supreme Court of India (Enrol No. D/677/2007)failing whom, Mr. Bimal Kumar Sipani, Chartered Accountant, (Membership No. 088926), Partner of M/s. Singhi & Co, Chartered Accountants, is hereby appointed as the Chairperson for

the meeting of the Unsecured Creditors of the Demerged Company.

xi) Mr. Pawan Kumar Sarawagi (Membership No. FCS 3381), of M/s. P Sarawagi & Associates, Company Secretaries, is hereby appointed as a Scrutinizer for the meetings of Equity Shareholder and the Unsecured Creditor of the Demerged Company.

xii) The Chairperson appointed for the aforesaid meetings of the Equity Shareholders and Unsecured Creditors of the Demerged Company is authorized to issue notices for the respective meetings as referred above. The Chairperson shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, as may be applicable for the respective meetings of Equity Shareholders and Unsecured Creditors of the Demerged Company convened and held through video conferencing or other audio-visual mode, in relation to the conduct of the meetings including for deciding procedural questions that may arise at the meetings or at any adjournment thereof or any other matter including, an amendment to the Scheme or resolution, if any, proposed at the respective meetings by any Equity Shareholder(s) or Unsecured Creditor(s).

xiii) The quorum for the meeting of the Unsecured Creditors shall be as per Rule 5 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The quorum for the meetings of the Equity Shareholders shall be as per Section 103(1)(a)(iii) of the Companies

Act, 2013.

xiv) The value and number of the Equity Shareholders and Unsecured Creditors of the Demerged Company shall be in accordance with the books/ register maintained by the Demerged Company/depository records, as the case maybe, and where the entries in the books/ register / depository records are disputed, the Chairperson of the meetings shall determine the value and number for the purpose of the aforesaid meetings and his decision in that behalf would be final.

xv) The Chairperson shall file an affidavit not less than 7 (seven) days before the date fixed for holding of the aforesaid meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisements of the aforesaid meetings have been duly complied with as per Rule 12 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

xvi) The Chairperson shall report to this Tribunal, the result of the aforesaid meetings within 30 days of the conclusion of the said meetings of the Equity Shareholders and Unsecured Creditors of the Demerged Company, and the said report shall be verified by his undertaking as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

xvii) We direct the petitioners to pay a sum of Rs.1,00,000/-

to the Chairman and a sum of Rs.50,000/- to the Scrutinizer as their fees.

xviii) In compliance of subsection (5) of Section 230 of the Companies Act, 2013 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No. CAA.3 along with copy of the Scheme of Amalgamation to:(i) Central Government through the Regional Director, North Western Region; (ii) Registrar of Companies, Gujarat; (iii) Income Tax Authorities concerned; and (vi) BSE Limited (through BSE Listing Centre) (in case of Demerged Company); stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the Scheme.

6. The Applicant Companies shall file a compliance affidavit with the Registry with regard to the directions given in this order.

7. List the matter on 10.05.2023 for filing Chairman's report.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

DR.MADAN B. GOSAVI
MEMBER (JUDICIAL)

Sudha